IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
COMMERCIAL COURT (QBD)

Claim No: QB-2020-003063

B E T W E E N

NICHOLAS STOOP
T/A WARWICK RISK MANAGEMENT — Claimant

and

NICOLA JOHNSON — Defendant

DEFENCE

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1. In briefest summary, and set out more particularly below:

1.1. The Contract relied upon by the Claimant is unenforceable.

1.1.1. Damages-Based Agreements are unenforceable if they relate to family proceedings. The Claimant's case is that the agreement was (inter alia) to compensate him for years of work provided during the Defendant's divorce. The Contract is unenforceable for this reason.

1.1.2. Further, the Contract fails to comply with the Damages-Based Agreements Regulations 2013. It is therefore, by operation of s58AA(2) Courts and Legal Services Act 1990, unenforceable.

1.1.3. Alternatively, the Contract is champertous. It is unenforceable as a matter of public policy.

1.2. In any event, even if the Contract were enforceable, the Success Fee has not been triggered. The Claimant was not the effective cause of any settlement with Barclays. His approach was unhelpful. His main alleged work product – a letter which he says he redrafted over 50 times – was never sent. The Barclays matter was eventually concluded using a different legal team and a different approach, without any involvement from the Claimant.

1.3. The estoppel claim cannot be used to make the Contract enforceable, when it would otherwise be unenforceable on grounds of public policy.

1.4. Further, the estoppel claim relies on an alleged representation concerning a payment of money. It is not a proprietary estoppel. It cannot be pleaded as a cause of action, and cannot give rise to proprietary rights.

1.5. Further, the Defendant has provided countervailing benefits which outweigh any alleged detriment to the Claimant. Reliance and unconscionability are also denied.

1.6. The remainder of this Defence is pleaded without prejudice to the contention that the causes of action in the Claim Form and Particulars of Claim should be struck out, and/or that the Defendant should be granted summary judgment.

2. Paragraph numbers below refer to the Particulars of Claim. For convenience only, this statement of case adopts some of the abbreviations and headings used in the Particulars of Claim. While the Defendant refers below to legal advice which she received in respect of the potential claim against Barclays, and intends to rely on documents proving such advice, she does not waive privilege more generally.

3. Save as is hereinafter expressly admitted or expressed to be not admitted, each and every allegation of fact contained within the Particulars of Claim is denied. Where an allegation is said to be "not admitted", the Defendant is unable to admit or deny, and the Claimant is required to prove, that allegation at trial, such matters being outside the knowledge of the Defendant.

Introduction and background

4. The first sentence of paragraph 1 is admitted. At the time of the Contract, the Claimant was acting in the course of his business, and was a "trader" for the purposes of Consumer Rights Act 2015. The remainder of paragraph 1 is not admitted. At the beginning of the parties' relationship, the Claimant had been unemployed for several years and was in debt.

5. Paragraph 2 is admitted. At the time of the Contract, the Defendant was a "consumer" for the purposes of Consumer Rights Act 2015.

6. Paragraph 3 is admitted. The Claimant and Defendant were boyfriend and girlfriend between about October 2009 and August 2019.

7. The first sentence of paragraph 4 is admitted. The second sentence of paragraph 4 is denied. The Defendant never asked the Claimant to "*assist her with her divorce*". She was advised by and represented by lawyers in both England and France.

8. As to paragraph 5, there was no agreement for the Claimant to "*begin work*". The Defendant and her lawyers worked on the French divorce, and on Family Law Act proceedings in England (including an application for an occupation order concerning Warwick House, which Mr Takieddine was trying to sell with Savills for £16m). The Claimant's role was that of a boyfriend, offering support and advice. Assuming that by "work", the Claimant means commenting on the drafts of legal documents prepared by lawyers, such work generally added no value whatsoever. Save as consistent with the foregoing, paragraph 5 is denied.

9. As to paragraph 6, the Defendant was granted an occupation order and a non-molestation order on 16 July 2010, but it is denied that this was substantially as the result of work and assistance provided by the Claimant. Rather, to the extent that the Claimant did "work" in the Family Law Act proceedings, it was actually detrimental to the Defendant, because of the amount of additional time her lawyers needed to spend on the Claimant's unhelpful attempts to re-draft legal documents.

10. Paragraph 7 is denied.

    10.1. The Claimant is understood to be alleging an express representation that "*although there was no written contract between them, she would pay him for the work he had carried out when she sold Warwick House*". The Defendant did not make this (or any similar) express representation, in 2010 or at all. Nor did the Defendant make an assurance or promise the Claimant in those terms, or anything approximating those terms.

    10.2. For the avoidance of doubt, the Defendant did not, at any time, represent to (or promise, or assure) the Claimant that she would pay him for the work he had allegedly carried out in respect of the occupation order or non-molestation order.

    10.3. Again for the avoidance of doubt, the Defendant never promised (or assured, or represented to) the Claimant that she would pay him for the support and advice he had offered as her boyfriend.

    10.4. Further, until October 2017, the Defendant did not represent to (or promise, or assure) the Defendant that she would make a payment to him from the sale proceeds of Warwick House. In October 2017, the Defendant sent the Claimant a text message, as to which see paragraph 21 below.

11. Paragraph 8 is denied.

11.1. The Defendant did not make any such representations. Paragraph 10 is repeated.

11.2. In any event, even if she had made the alleged representation, the Claimant could not have relied on a statement about a payment "*for the work he had carried out*" (i.e. in the past), as meaning he would be paid for all work he might do in the future.

11.3. The Claimant's support, and any work, was provided solely in his capacity as the Defendant's boyfriend. It was not provided in reliance on any representation. In any event, the Claimant could not reasonably have expected compensation beyond the benefits set out in paragraph 12 below above for any work done on the litigation relating to the Defendant's divorce.

11.4. It is further denied that the Claimant devoted his full-time working hours to assisting the Defendant in her divorce and the related litigation, beyond offering some support and advice as a boyfriend.

12. The Defendant understands that paragraphs 9 to 13 are intended by the Claimant to particularise the "detriment" element of the claim in proprietary estoppel, referred to explicitly in paragraph 61 of the Particulars of Claim. Detriment is denied for the reasons in paragraphs 13-15 below. Further or alternatively, the following countervailing benefits (provided in what the Defendant thought was a loving relationship) outweigh any detriment:

12.1. Between 2010 and October 2017, the Defendant gave the Claimant the benefit of living at Warwick House rent free, with no contribution towards utility or council tax bills, and with the Defendant doing or paying for all of the Claimant's groceries, cooking, cleaning and laundry.

12.2. To fund their living costs, the Defendant used such maintenance money as she was able to recover from the French proceedings. When that was insufficient, she sold jewellery, clothes, handbags, furniture and paintings. When she needed to, she borrowed from friends and family. The Claimant contributed nothing.

12.3. Further, she let the Claimant use (for free) 60 sq m of office space in Warwick House from about 2014, where he set up his claims management business, with a prestigious address and meeting-space for clients.

12.4. She also gave the Claimant money when he needed. The total sums given to the Claimant (or used to pay his debts) were at least £50,000. This does not include a

loan of £60,000 extended to the Claimant by the Defendant's father in 2015, when he (the Claimant) was being sued by his sister to recover an unpaid debt.

13. As to paragraphs 9-11:

13.1. It is admitted that the Claimant offered advice and support as the Defendant's boyfriend during the period 2010-2017, while the Defendant was party to the litigation and other legal work set out in paragraphs 10 and 11. Paragraphs 8 and 9 above are repeated.

13.2. However, the effective work was done by the Defendant and her lawyers, and not by the Claimant.

14. As to paragraph 12:

14.1. It is denied that the Claimant carried out work in reliance on the Defendant's promise that he would be paid out of a share of the proceeds of sale of Warwick house, for the reasons given in paragraph 10 and 11 above.

14.2. The remainder of paragraph 12 is irrelevant. For completeness, however:

14.2.1. It is denied that the Claimant carried out dangerous work.

14.2.2. It is admitted that Mr Takieddine is not of good character.

14.2.3. It is denied that the Claimant "*unearthed*" evidence at Warwick House. There were computers and boxes of documents that belonged to Mr Takieddine stored (openly) in Warwick House, which the Defendant passed to her lawyers who made appropriate use of them in the proceedings.

14.2.4. Mr Takieddine employed private detectives to observe the Defendant after she obtained the Occupation Order, which made her uncomfortable. It is admitted that the Claimant arranged private security, for one week. He used money borrowed from his sister and brother-in-law, whom the Defendant repaid.

15. Paragraph 13 is denied. The work done is denied save as set out above. The sacrifice of other work is denied. The Claimant had been unemployed for several years until 2014, when he began setting up his business, which he ran on a relaxed basis, starting and finishing when he chose.

16. Paragraph 14 is admitted.

17. Paragraph 15 is admitted.

18. Paragraph 16 is admitted, save that the relationship did not end in October 2017. In October 2017, the relationship was paused, and the Claimant moved out of Warwick House; however, it soon resumed, and the parties spent Christmas 2017 together at Warwick House. The relationship ended permanently in August 2019.

The potential claim against Barclays

19. As to paragraphs 17-19:

    19.1. It is admitted that the Claimant said that he believed that the Defendant had a valuable claim against Barclays, based broadly on an allegation that the Barclays loan was extended without the Defendant's knowledge and involving the Paris property.

    19.2. The cause of action referred to in paragraph 17 (unlawful means conspiracy) was discussed, but not until around 2019. The allegations in paragraph 18 were discussed, but not until around 2017. The value of £30,000,000 was discussed, but not seriously: the Defendant never thought it realistic.

    19.3. Notwithstanding the Claimant's stance, the Defendant's legal advisors considered that the legal case against Barclays was weak. The true value of the claim against Barclays was far lower than asserted by the Claimant: the claim had only nuisance and embarrassment value.

20. As to paragraph 20:

    20.1. It is admitted that the potential claim against Barclays was outside of Mr Copson's (not the firm's) area of expertise, and that he said as much.

    20.2. It is admitted that a potential conflict of interest was raised. Without any broader waiver of privilege, there were two issues. First, Withers was already owed very significant fees, and the Defendant's potential claim against Barclays would involve very significant further fees. It was possible that Withers' interest and the Defendant's interest may conflict because of this. Secondly, there appeared to be a conflict between the Claimant's appetite to pursue Barclays and the Defendant's.

21. As to paragraph 21:

21.1. It is admitted that the Defendant offered to make a payment to the Claimant in October 2017. The remainder of the first sentence is denied. Further:

21.1.1. In October 2017, the relationship between the Claimant and Defendant deteriorated (although it later improved again, temporarily). The Claimant moved out of Warwick House.

21.1.2. On 14 October 2017, after their (apparent) break-up, the Defendant sent the Claimant a text saying "*I will send you money when I sell the house. Barclays project is still open for you too. I'm doing it anyway but you can be involved if you want.*" She had in mind to give the Claimant a sum of around £20,000, as a goodbye gesture and for no other reason.

21.1.3. The Claimant replied by email on 27 October 2017, saying: "*Thank you for telling me that you would send me money when you sell the house. Please can we quantify the amount? What do you propose? I hope it would reflect the quality and quantity of the effort to secure the house for you and on the various other cases.*"

21.1.4. In an email on 28 October 2017, the Defendant asked "*What are you expecting in terms of payment?*"

21.1.5. On 30 October 2017, the Claimant replied saying "*In terms of payment, what do you think would be reasonable? I put absolutely everything into fighting for you. But for me, you would have been left with nothing. Simon Farrell suggested £2 million. I think that may be a bit high. In any event, the payment can be structured as an investment/shareholding in Cap-It. That might be more tax-efficient and will hopefully give you valuable income (and/or a capital sum) going forward. Please may we resolve this part reasonably swiftly? I think it needs to be clarified before the prospective battle against Barclays.*" He chased for a response on 5 November 2017.

21.1.6. In an email on 6 November 2017, the Defendant said: "*I am very shocked by the figure mentioned. A "bit high" you say ! I'll be lucky if there is 2 million left in total. I'm afraid it has confirmed my worst fears about you and your motivations.*

You say you love me and miss me but you are not going to help me until I have paid you a ton of money for something you used to pretend you did for love ??"

21.1.7. On 21 November 2017, the Claimant said "*I have never made any demands, outrageous or otherwise. You said you would send me some money and you asked me to suggest a figure. The £2 million was Simon Farrell's suggestion. He has acted as your lawyer and knows the background. It seemed reasonable to ask for his opinion. But it was never a demand. I even said I thought the figure was high.*"

21.2. The allegation in the first sentence of paragraph 21 that the Defendant "confirmed" that she would pay the Claimant is denied. The above correspondence was the first time that the parties had discussed any payment to the Claimant.

21.3. As to the second sentence, it is admitted that the sum of £2,000,000 was discussed (in that the Claimant proposed it, and the Defendant expressed shock, and said that the demand confirmed her worst fears about him and his motivation).

21.4. The third sentence is admitted. The Claimant had convinced the Defendant that she should try to seek a remedy from Barclays. She decided to do so. She said to the Claimant that the "Barclays project" was open to him if he wanted, but she was doing it anyway.

21.5. The fourth sentence is denied. The Claimant (not the Defendant) proposed a payment of 50% of the value of any settlement reached with Barclays, in the draft contract.

21.6. As to the fifth sentence, the parties agreed on 50%, but the proposal was the Claimant's, who insisted on that split. The Defendant agreed, hoping (at the time) that she and the Claimant had a future together, and thinking that the Claimant would be motivated to work on the case for their joint benefit.

The Contract

22. As to paragraph 22, it is admitted that the Claimant drafted the Contract, and that its terms are accurately quoted. The Defendant will refer at trial to other terms of the Contract.

23. If (which is denied) the Contract is enforceable:

23.1. The first sentence of paragraph 23 is admitted. The Claimant's only remuneration would have been through the Success Fee.

23.2. The second sentence of paragraph 23 is denied, save as expressly admitted below:

23.2.1. The "Success Fee" was stated to be "*50% of any compensation realised* ***pursuant to*** *the Assignment, monetary or otherwise, howsoever obtained.*" [emphasis added.]

23.2.2. As stated earlier in the Contract, "*The Assignment comprises consultancy work and claims management services with reference to the Mortgages. The objective of the Assignment is to secure compensation in respect of the Mortgages.*"

23.2.3. If the Defendant were to realise compensation other than pursuant to the Assignment – that is, other than as a result of the Claimant's consultancy work and claims management services – no Success Fee would be payable.

23.2.4. Therefore, on a true construction of the Contract, the Success Fee would only be payable if the Claimant's work was an effective cause of the compensation.

23.2.5. The words "howsoever obtained" have the effect of ensuring that the Claimant would be paid if his work led to compensation being obtained (for example) by way of judgment, mediation, or compromise – but those words cannot include compensation obtained other than "pursuant to the Assignment" (i.e. other than as a result of his consultancy work and claims management services).

23.2.6. It is admitted that, if the Defendant terminated the contract after the Claimant had done work pursuant to the Assignment which was an effective cause of compensation being realised, the Defendant's termination of the Contract in and of itself would not prevent the Success Fee being payable.

23.3. Further, if the Court considers the term is ambiguous, the Defendant's construction must be preferred, in accordance with s69(1) Consumer Rights Act 2015.

23.4. Further, if (which is denied) the Claimant's construction is correct, and there is a term providing for the Success Fee to be payable even if compensation is secured by the Defendant after the termination of the Contract, with no requirement that the Claimant's work be an effective cause of the compensation, then that term is unfair, and not binding on the Defendant by virtue of s62 Consumer Rights Act 2010. Such a term would cause a significant imbalance in the parties' rights and obligations under the contract, to the detriment of the consumer, contrary to the requirement of good faith. The Defendant will rely inter alia on section 63(1), and paragraph 18

of Part 1 of Schedule 2, which provide that "*A term which has the object or effect of obliging the consumer to fulfil all of the consumer's obligations where the trader does not perform the trader's obligations*" may be regarded as unfair. On the Claimant's construction, the term would have the object or effect of making him entitled to a Success Fee whether or not he carried out work. That would be unfair.

24. Paragraph 24 is not admitted: but if it is correct, it renders the Contract unenforceable for the reasons stated in paragraph 27 below.

25. Paragraph 25 is denied. The Defendant did not understand or believe that the Claimant's assistance was the only way a reasonable settlement could be reached. The Claimant is not the only person to supply effective dispute resolution services, the Defendant herself had an in-depth knowledge of the factual background to her cause of action, and there are plenty of solicitors able to litigate against Barclays without conflict.

26. Except that it is denied that the Claimant understood that the Defendant received independent legal advice, paragraph 26 is admitted. The Defendant was unable to seek independent advice because she could not afford to do so.

27. Notwithstanding the Defendant's signature, the Contract is unenforceable.

    27.1. The contract is a Damages-Based Agreement (**DBA**), being an agreement between a person providing claims management services and the recipient of those services, which provides that the recipient is to make a payment to the person providing the services if the recipient obtains a specified financial benefit in connection with the matter in relation to which the services are provided, and the amount of that payment is to be determined by reference to the amount of the financial benefit obtained (s58AA(3) Courts and Legal Services Act 1990).

    27.2. s58AA(1) and (2) provide that DBAs are enforceable if (and only if) they satisfy the conditions in subsection 4.

    27.3. s58AA(4)(aa) provides that DBAs must not relate to proceedings which, by virtue of section 58A(1) and (2), cannot be the subject of an enforceable conditional fee agreement. Section 58A(1)(b) and s58A(2) provide that family proceedings cannot be the subject of an enforceable conditional fee agreement. Therefore, DBAs must not relate to family proceedings.

27.4. Paragraph 8 of the Particulars of Claim alleges that the Claimant "*devoted his full-time working hours to assisting the Defendant in her divorce and the related litigation*". Paragraph 24 of the Particulars of Claim pleads that "*the function of these contractual terms [of the Contract] was to provide an incentive for the Claimant to work diligently until a settlement was obtained and to compensate him for the years of work and assistance provided both during and after the Defendant's divorce*". On the Claimant's case, the purported DBA relates to family proceedings. Accordingly, it is unenforceable.

27.5. Further, s58AA(4)(c) provides that DBAs must comply with such other requirements as to its terms and conditions as are prescribed. Regulation 3 Damages-Based Agreements Regulations 2013 contains the requirements as to the terms and conditions of all DBAs. Reg 3(c) provides that the DBA must specify "*the reason for setting the amount of the payment at the level agreed*". The Contract does not specify a reason for setting the amount of the Success Fee at 50%. The Contract therefore does not comply with the prescribed requirements as to its terms and conditions, and it is therefore unenforceable. (This is not some immaterial oversight: the Contract would have been unenforceable if it <u>had</u> included the reason in the terms set out in paragraph 24 of the Particulars of Claim, for the reasons given in the subparagraphs above.)

27.6. Further or alternatively, the Contract is champertous (or savours of champerty). It expressly provides for the Claimant to support (indeed, to control) the Defendant's litigation in return for a share of the proceeds. It is unenforceable for that reason also.

<u>Particulars of work done under the Contract</u>

28. As to paragraph 27, it is admitted that the Claimant did work intending to secure compensation from Barclays; and that the Claimant consulted informally with Simon Farrell QC and worked with his son Harry Farrell; and that Simon Farrell QC has represented the Defendant in the past. It is denied that Harry Farrell was a consultant experienced in banking regulation and civil and criminal litigation. The remainder of paragraph 27 is not admitted.

29. As to paragraph 28, it is admitted that the Defendant supplied documents to the Claimant, and helped with translations of a very small number of French documents. It is denied that the Defendant was asked to comment on drafts of a letter to Dentons: she does not recall

this and has found no record of it (although she did comment on a draft letter to Dena Brompton of Barclays). The remainder of paragraph 28 is not admitted.

30. As to paragraph 29:

    30.1. As to the first sentence, it is admitted that the Claimant has a working relationship with CRS. The remainder is denied. The Defendant did not confirm that she wished CRS to be instructed: the Claimant took that decision unilaterally.

    30.2. The second and third sentences are not admitted.

    30.3. The fourth sentence is admitted (as must be inferred from the fact that they provided such advice and services without a formal retainer). The Defendant was not party to any such agreement with Mr Farrell QC or CRS. Further, the advice of Mr Farrell QC and Mr Levaggi of CRS was that the Defendant's case against Barclays was weak. The remainder of paragraph 29 is not admitted.

31. Paragraph 30 is admitted.

32. As to paragraph 31, it is admitted that the Claimant did some further work intending to secure compensation from Barclays. It is denied that any evidence against Barclays was "substantial": the advice of CRS and Mr Farrell QC was that the claim was weak. The remainder of paragraph 31 is not admitted.

33. As to paragraph 32, it is admitted that the Claimant considered that the evidence against Barclays was likely to compel Barclays to agree a settlement with the Defendant; and that the Claimant did work on a draft letter to be sent by CRS to Dentons. It is denied that the Claimant drafted the letter sent by the Defendant to her MP. The remainder of paragraph 32 is not admitted.

34. Paragraph 33 is admitted, save that it is denied that the Claimant was involved in any discussions or meetings with Mr May concerning the sale of the Warwick House, and it is denied that the Barclays case was discussed with Mr May in any detail.

35. As to paragraph 34, it is admitted that there was a conference with CRS and Simon Farrell QC on 29 November 2018. It is denied that there was agreement as to the matters set out in the subparagraphs. Further, the advice from both Mr Farrell QC and Mr Levaggi of CRS was that the Defendant's case against Barclays was weak.

36. As to paragraph 35, it is admitted that the Claimant had done work with the intention of securing compensation from Barclays. The relevance or calculation of "time costs" in the Claimant's case is not understood, but in any event it is denied that the Claimant could possibly have spent time or disbursed funds with a price or value in the region of £1,000,000. The remainder of paragraph 35 is not admitted.

37. Paragraph 36 is admitted.

38. As to paragraph 37, it is denied that there was such an agreement at the conference on 29 November 2018. The remainder of paragraph 37 is not admitted.

39. As to paragraph 38, it is admitted that the Claimant did work on a draft letter to Dentons, intending to secure compensation from Barclays. It is denied that the Defendant sent the Claimant emails about the drafting of the draft letter to Dentons: she has found no such emails, and does not recall commenting on any letter to Dentons. It is denied that the Defendant highlighted a selection of French documents: in fact, she said that the Claimant was wasting time on those documents, which had little or no relevance. The remainder of paragraph 38 is not admitted.

40. As to paragraph 39:

    40.1. The first sentence of paragraph 39 is admitted. The Defendant did not sign the CFA, because the Claimant had told her that there were still issues that needed to be addressed.

    40.2. The second sentence of paragraph 39 is denied. The Defendant (not the Claimant) drafted the letter to her MP, which she did send, on 20 March 2019.

    40.3. Further, by early 2019, the Defendant had lost faith in the Claimant. She sought independent advice from a barrister, Simon Reevell, whose advice (like CRS's and Mr Farrell QC's) was that her claim was weak.

41. Paragraph 40 is denied. There was no "secret" bank account. The Defendant had opened an account in Barclays in Paris in about 2006. She did so because her husband had cut off funds to her, and she was selling her personal property to fund her living expenses, and needed a bank account in which to store the funds (amounting to around €5,000). The existence of the bank account did not change the merits of the Defendant's case in any material way.

42. The first sentence of paragraph 41 is admitted. The second sentence is denied: the Claimant himself had advised her not to sign the CFA, as there were issues which he said wanted to address: indeed, the Defendant complained to the Claimant about the damage being caused by his delay. In the circumstances, the letter which the Claimant says he redrafted over 50 times was never sent to Dentons or Barclays.

43. Paragraph 42 is admitted. Further:

    43.1. In about late 2018, Heather Buchanan of the All Party Parliamentary Group on Fair Business Banking (**the APPG**) advised the Defendant to write to her MP. The Claimant (without the Defendant's permission) interfered with the Defendant's correspondence with the APPG by sending an aggressive and unhelpful letter dated 24 October 2019.

    43.2. On 20 March 2019, the Defendant wrote to Emma Dent-Coad MP. The Claimant had no material input into the letter sent to the Defendant's MP. The email was forwarded to Barclays, who became more willing to engage with the Defendant.

44. Paragraph 43 is admitted, save that the Data Subject Access Request was sent to Milleis Banque (formerly Barclays France), not Barclays.

45. As to paragraphs 44 to 46, the Claimant's own assessment of the value and strength of the claim against Barclays is not admitted. However, the objective value of the claim was far, far less. CRS, Mr Farrell QC, and Mr Reevell all considered the claim to be weak.

46. Paragraph 47 is denied. The Contract is unenforceable, and in any event the work done by the Claimant did not effectively cause any settlement with Barclays:

    46.1. The substantive letter, allegedly redrafted more than 50 times, was never sent;

    46.2. The letters which were sent from CRS were rebuffed;

    46.3. Barclays only began to engage after the Defendant (not the Claimant) contacted her MP, on the advice of the APPG.

    46.4. The Defendant had decided that threatening legal action against Barclays was a bad idea, and was seeking a more consensual way forward.

    46.5. The Claimant was not party to the negotiations with Barclays. His work did not add value.

Defendant's attempts to renegotiate the success fee

47. Paragraph 48 is not admitted, save that it is admitted that CRS sent the Defendant a CFA, and chased, and that the Defendant (initially on the Claimant's advice) did not sign the CFA. The Defendant was, by this time, losing trust in the Claimant and in CRS.

48. As to paragraph 49, it is admitted that the Claimant met the Defendant on about 8 August 2009. This was a personal arrangement: he came for a drink at her home. The Defendant ended the relationship that night. The Defendant did not say that Withers had offered to reduce their fees (because they had not) or that they required the first £500,000 of any settlement plus a potential uplift (because they did not). The Defendant did propose (on that occasion and on others) to reduce the Claimant's Success Fee percentage to 30%, but he refused. The Defendant does not recall mentioning Mr May. Save as consistent with the foregoing, the remainder of paragraph 49 is denied.

49. As to paragraph 50:

    49.1. As to the first sentence, the Defendant said to Mr Levaggi that the 50% fee was outrageous. Mr Levaggi agreed, and said that he would speak to the Claimant. Save as consistent with the foregoing, the first sentence is denied.

    49.2. The second sentence is denied. The Defendant did not say that she had been advised against meeting Barclays (because she had not been so advised).

    49.3. The third sentence is denied. The Claimant made no such offer to the Defendant.

Termination

50. Paragraph 51 is admitted, save that it is not an accurate summary of the email, the relevant part of which said "*Withers have been in touch. I'll need to discuss matters with them before going any further*". In that email, the Defendant complains about the Claimant's inappropriate and confrontational approach.

51. Paragraph 52 is admitted.

52. Paragraph 53 is admitted.

53. Paragraph 54 is admitted.

54. The first sentence of paragraph 55 (concerning the Claimant's belief) is not admitted. The second sentence of paragraph 55 is admitted. In any event, no Success Fee is due because

the Contract is unenforceable, and because the Claimant was not the effective cause of any settlement.

55. Paragraph 56 is denied. No "time costs" have ever been agreed between the parties; and it is inconceivable that the Claimant could possibly have spent time or disbursed funds with a price or value in the region of £1,500,000.

Relief sought

56. As to paragraph 57, the Claimant's entitlement to such a declaration is denied for the reasons set out above.

57. The Claimant's calculations and beliefs in paragraphs 58-59 are not admitted and are irrelevant.

58. As to paragraph 60, the Defendant does not intend to oppose an application for such disclosure, and intends to provide further information under Part 18 upon any such order for disclosure being made.

Proprietary estoppel

59. Paragraph 61 is denied.

    59.1. Until 14 October 2017, the Defendant made no such promises whatsoever. Paragraph 10 above (denying representations) is repeated.

    59.2. In October and November 2017, for the first time, the parties discussed a payment to the Claimant when Warwick House was sold. Paragraph 21 above is repeated. These were not representations on which the Claimant could thereafter have relied. The correspondence in October and November 2017 could not have left the Claimant with the impression that he would be paid for any work done for the Defendant, unless they should come to an express agreement about it.

    59.3. Paragraphs 11-12 above (denying reliance and detriment) are repeated.

    59.4. Further, as the Claimant well knows, the Defendant's equity in Warwick House is her only significant asset. It must provide for the rest of her life. She is 59, and has no earning power. She has spent her adult life as a stay-at-home mother, and then struggling to live while fighting divorce and related proceedings in the French and English courts. The Claimant, however, is (on his case) an expert in banking claims with a prestigious claims management practice and opportunities to make very

large profits. The Defendant understands that the Claimant earned £300,000 in a single settlement deal involving CRS in 2018. On his case, which he is required to prove, the Claimant is in a far stronger financial position than the Defendant. Moreover, the Defendant helped the Claimant start his business up by providing (for free) office space in Warwick House, and by allowing the Claimant to live at Warwick House for so many years without needing to spend money. Paragraph 12 is repeated. Further, the Defendant will rely on the Claimant's aggression in correspondence. In all the circumstances, unconscionability is denied.

59.5. Further and in any event, the Claimant's case is that the Defendant represented that she would pay him a sum of money. Even if (which is denied) this representation had been made, it was not a representation about a proprietary interest in Warwick House. It cannot therefore be the basis of a proprietary estoppel. Even if (which is denied) the Claimant relied on it to his detriment, a (non-proprietary) estoppel by representation is not a cause of action.

60. Paragraph 62 is denied.

60.1. The Claimant's expectation at its highest was the chance of recovering the Success Fee, as defined. At the time of the Contract, compensation from Barclays had not been realised, and the legal advice from CRS and Mr Farrell QC and Simon Reevell was negative. He cannot reasonably have expected to receive £3,663,898.

60.2. Further and in any event, the Claimant cannot rely on a proprietary estoppel to render valid a transaction which, on grounds of public policy, is unenforceable. The Contract is unenforceable by virtue of s58AA Courts and Legal Services Act 1990 and/or because it is champertous or savours of champerty. In the circumstances, the Claimant is not entitled to the relief sought.

61. As to paragraph 63, the Claimant's entitlement to such a declaration is denied. The Claimant has no entitlement to an equity in Warwick House or its sale proceeds. Even if (which is denied) a proprietary estoppel arises, the Claimant's maximum relief must be the value of any work that he truly did, minus the value of the countervailing benefits he received from the Defendant.

62. As to paragraph 64, the Claimant's entitlement to interest is denied.

LAURIE SCHER

The Defendant believes that the facts stated in this defence are true. I understand that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a full statement in a document verified by a statement of truth without an honest belief in its truth.

Dated 30 September 2020

Nicola Johnson

Defendant

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IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY
COURTS OF ENGLAND AND
WALES
COMMERCIAL COURT (QBD)

B E T W E E N

NICHOLAS STOOP T/A

WARWICK RISK MANAGEMENT

Claimant

and

NICOLA JOHNSON

Defendant

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